

Nice One (Tadawul: 4193) — Margin Erosion

From a 7.1% profit margin to a 10.5% loss margin in under two years

Case Background

Nice One Beauty Digital Marketing Co. is a leading Saudi e-commerce platform for beauty and personal-care products, founded in 2017 and headquartered in Riyadh. It listed on Tadawul's Main Market on January 8, 2025 at an IPO price of SAR 35 per share, surging the maximum 30% to SAR 45.5 on its first trading day — a celebrated entrepreneurial success story at listing. What happened next offers one of the most important lessons for every founder and investor: **revenue growth means nothing when the margin is eroding underneath it.**

The Numbers: A Five-Stop Journey

Period	Sales (SAR mn)	Net Income (SAR mn)	Net Margin
2023 — Stable performance	782.4	32.6	4.16%
2024 — The golden year	1,003.5	71.57	7.13%
2025 — Profit erosion	1,016.6	2.98	0.29%
Q1 2026	295.96	8.6	2.9%
Q2 2026	188.2	-19.93	-10.5%

Note the paradox: in 2025 the company kept sales above one billion riyals — higher than the "golden year" — yet net income collapsed from 71.57 million to just 2.98 million. Sales held steady; profit evaporated. Where did it go?

Quarterly Comparison Since Listing (SAR mn)

Item	Q1 2025 (base period)	Q2 2026	Change
Revenues	324.97	188.26	-42%
Gross income	80.58	41.72	-48%
Operating income	26.91	-17.82	-166%
Net income	24.12	-19.93	-183%
Share price (SAR)	35	11.3	-68%

Analysis Threads

- **Growth vs. profitability:** breaking the billion-riyal barrier in 2024 was an achievement — but was it built on healthy margins, or on marketing burn to buy market share?
- **Cost structure:** gross income fell 48% while revenues fell 42% — cost of goods did not shrink as fast as sales. Operating income then turned negative, pointing to fixed operating expenses (marketing, logistics, payroll) that no longer fit the new revenue base.
- **Early warning signs:** the 0.29% margin of 2025 was the alarm bell before the 2026 loss — margins erode gradually before they flip into losses.
- **Market confidence:** the share went from 35 at IPO to 11.3 — the market prices the margin, not the sales volume.

Council Discussion Questions

1. If you sat on Nice One's board in early 2025 with a 7.13% margin behind you, which indicators would you track monthly to catch the erosion early?
2. Management faces three options today: cut marketing spend sharply, raise prices and accept lower volume, or keep burning margin to defend market share. Which do you recommend, and why?
3. What separates "a company that grows" from "a company that buys growth"? How does an investor tell the difference from the financial statements?
4. Local projection: your Hail venture posts excellent sales with a margin shrinking every quarter — when do you stop expanding and re-engineer costs instead?
5. Did an early IPO pressure the company into delivering growth at any price? What is the lesson for founders aspiring to list?

Key Lessons

1. **Margin is more honest than sales:** watch the margin trend quarter by quarter — gradual erosion is more dangerous than a sudden loss because it gets normalized slowly.
2. **Fixed costs cut both ways:** what serves you in growth crushes you in contraction. Build a flexible cost structure.
3. **Markets price the future:** one losing quarter does not explain a 68% drop — the loss of faith in the profitability model itself does.

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